

USER AGREEMENT FOR THE USE OF MUNICIPALITY OWNED PROPERTY ENTERED INTO BETWEEN CITY OF EKURHULENI

Herein represented by Mr Caiphus Chauke in his capacity as Head of Department: Economic Development, duly authorized thereto by a resolution/delegation of the Council of the said Municipality..... (Hereinafter referred to as “the City”)

and

Name and Surname {TENANT_NAME}

Identity Number {IDENTITY_NUMBER}

(Hereinafter referred to as “the User”).

And/Or

If the User is a Juristic person:

Company Name: {COMPANY_NAME} (Hereinafter referred to as the User), represented by {REP_NAME} in his/her/their capacity as {REP_CAPACITY} duly authorized hereto by a Resolution passed by the aforementioned on {RESOLUTION_DATE}.

PREMISES

The Development Planning & Real Estate Department hereby grants the User access to use the City’s property: {PREMISES_NAME} situated at {PREMISES_ADDRESS} approximately {PREMISES_EXTENT} sqm in extent, as indicated on the plan annexed as Annexure "B"; (hereinafter referred to as the Premises)

DURATION

The User Agreement permits the use of the aforesaid premises commencing on {START_DATE} and continues for a period of 12 months and terminates on {END_DATE}.

RENTAL

3.1 The rental payable in respect of the premises shall be R {MONTHLY_RENTAL} (ex.VAT) per month subject to a 5 % (percent) escalation per annum compounded on the previous year’s rental. The rental payable excludes water and electricity. A flat fee of R100 for water will be charged monthly.

3.2 Payment shall be made at Ekurhuleni Customer Care centre deposited to the following vote number 17901402870MHZZZZ16 or via EFT to the following CoE bank account number STANDARD BANK Account Name City of Ekurhuleni Lease income Account no: 281181578 Code:013042 Code(EFT):051001 Or pay at CCC into vote no: 17901402870MHZZZZ16 Please send POP to CEDFacilities@ekurhuleni.gov.za

SUB-LEASE

4.1 The User shall not be entitled to sub-let the premises or any part thereof nor assign, cede or transfer its interest under this lease nor part with possession of the PREMISES to any other party or body, without the prior written consent of the City being had and obtained, which consent shall not be unreasonably withheld, provided that:

4.2 In the event of the City consenting to the sub-letting of the PREMISES, the sub-tenant shall be bound to pay the rentals direct to the User who for the purpose of this clause be deemed to be the duly authorised agent of the City, and

4.3 The User shall in no way be relieved of her obligations to the City under this lease by reason of any sub-lease.

CANCELLATION CLAUSE

5.1 Both the City and the User shall have the right during the currency of this User Agreement to terminate by giving the other party at least three (3) months prior written notice of termination.

5.2 The User is required to occupy the premises within one month of being issued with a permission to use premises agreement. Failure to start operating from the premises will lead to cancellation of this User Agreement.

5.3 The User is required to comply with the Business Park operating hours, from 07h00 to 18h00 during business days and 08h00 to 14h00 on weekends and/or holidays. Failure to comply with this requirement shall lead to cancelation of the agreement.

USE OF PREMISES

6.1 The premises shall be used for the purpose of {PURPOSE_OF_USE} and purposes aligned thereto and shall not be used for any nor for any other purposes without the prior written consent of the City, which consent shall not be unreasonably withheld;

6.2 The User shall conduct its activities in the premises in conformity with the existing municipal by-law, regulations, government ordinances and statutes and with any other laws which may be promulgated at any time in the future

COSTS

The User shall pay a once off amount of R550.00 to The City as an administrative fee;

JURISDICTION

Both the user and CoE hereby consent in terms of section 45 of the Magistrates Court Act No. 32 of 1994 of the jurisdiction of any Magistrate's Court having jurisdiction over their respective persons under section 28 of that Act, notwithstanding that any action or proceeding arising out of this agreement would otherwise be beyond the jurisdiction of such court, provided that the City shall have the right to institute action in any other competent court.

DEPOSIT AS SECURITY

11.1 The User shall upon the signing of this User Agreement, deposit with the City, an amount of R {DEPOSIT_AMOUNT} excluding VAT as security for damages that may be caused to the premises due to negligence

11.2 The City may appropriate the deposit monies towards any rental due, damages, loss of keys, and/or to offset other monies for which the User may be liable in terms of this Agreement hereof;

11.3 The City shall refund the deposit monies referred to in 11.1 to the User on expiry or termination of the User Agreement, save for any portion appropriated by the City in terms of 11.2 above.

MAINTENANCE

12.1 Within fourteen (14) working days from the date of signing of this User Agreement, the User shall be obliged to notify the City in writing of any pre-existing deficiencies which may exist in the premises, failing which the User is deemed to have received the premises in good order and condition.

12.2 The User undertakes to regularly care for and maintain the premises, repair damages/breakages at own cost, and keep sewerage, water pipes, gutters and drains free from obstructions.

FOR CITY OF EKURHULENI:

AS WITNESSES (CoE):

THUS DONE AND SIGNED by Mr. Caiphus Chauke
in his capacity as Head of Department: Development
Planning & Real Estate, signed at Kempton Park on
_____ 2024.

1. _____

2. _____

MR. CAIPHUS CHAUKE

FOR THE USER:

THUS DONE AND SIGNED by
{REP_NAME} in his/her capacity as
{REP_CAPACITY}, signed at
_____ on _____ 2024.

AS WITNESSES (USER):

- 1. _____
- 2. _____

FOR USER